

XYZ Pvt. Ltd. - Financial Statements Solution (2024)

Task 1: INCOME STATEMENT

For the Year Ended 31 December 2024

Particulars	Amount (PKR)
Revenue	
Sales Revenue	1,000,000
Less: Cost of Goods Sold	(600,000)
Gross Profit	400,000
Operating Expenses:	
Salaries & Wages	120,000
Rent	60,000
Utilities	20,000
Total Operating Expenses	(200,000)
Operating Profit (EBIT)	200,000
Less: Interest Expense	(20,000)
Profit Before Tax (EBT)	180,000
Less: Income Tax (30%)	(54,000)
Net Profit After Tax	126,000

Task 2: BALANCE SHEET

As at 31 December 2024

ASSETS	Amount (PKR)	EQUITY & LIABILITIES	Amount (PKR)
Non-Current Assets:		Equity:	
Land & Building	300,000	Share Capital	500,000
Machinery & Equipment	200,000	Retained Earnings	200,000
Furniture & Fixtures	50,000	Total Equity	700,000
Total Non-Current Assets	550,000		
		Non-Current Liabilities:	
Current Assets:		Bank Loan (Long-term)	200,000
Inventory	150,000		
Accounts Receivable	180,000	Current Liabilities:	

ASSETS	Amount (PKR)	EQUITY & LIABILITIES	Amount (PKR)
Cash & Cash Equivalents	120,000	Accounts Payable	100,000
Total Current Assets	450,000	Total Liabilities	300,000
TOTAL ASSETS	1,000,000	TOTAL EQUITY & LIABILITIES	1,000,000

Retained Earnings Calculation:

Particulars	Amount (PKR)
Opening Retained Earnings	100,000
Add: Net Profit for the year	126,000
Less: Dividend Paid	(26,000)
Closing Retained Earnings	200,000

Task 3: CASH FLOW STATEMENT (Indirect Method)

For the Year Ended 31 December 2024

Particulars	Amount (PKR)
CASH FLOW FROM OPERATING ACTIVITIES:	
Net Profit After Tax	126,000
Adjustments for non-cash items:	
Add: Depreciation	20,000
Operating Profit before Working Capital Changes	146,000
Changes in Working Capital:	
Increase in Accounts Receivable	(30,000)
Increase in Inventory	(20,000)
Increase in Accounts Payable	10,000
Net Working Capital Changes	(40,000)
Net Cash from Operating Activities	106,000
CASH FLOW FROM INVESTING ACTIVITIES:	
Purchase of New Machinery	(50,000)
Net Cash used in Investing Activities	(50,000)
CASH FLOW FROM FINANCING ACTIVITIES:	
Loan Taken During Year	100,000
Dividend Paid	(26,000)
Net Cash from Financing Activities	74,000

Particulars	Amount (PKR)
Net Increase in Cash	130,000
Add: Opening Cash Balance	(10,000)
Closing Cash Balance	120,000

RECONCILIATIONS

(a) Retained Earnings Movement:

Particulars	PKR
Opening Retained Earnings	100,000
Add: Net Profit 2024	126,000
Less: Dividends Paid	(26,000)
Closing Retained Earnings	200,000

(b) Cash Reconciliation:

Source	Amount (PKR)
Closing Cash per Cash Flow Statement	120,000
Closing Cash per Balance Sheet	120,000
Difference	0

(c) Balance Sheet Verification:

Item	Amount (PKR)
Total Assets	1,000,000
Total Equity & Liabilities	1,000,000
Difference	0